

Exhibit A: 2007 BST Forensic Findings and Control Reforms

Prepared for: Memorandum to the Village Board of Tuxedo Park **Source record:** BST forensic report dated May 9, 2007

Executive finding

The BST report documented serious Police Department financial-control failures and credited Mayor David C. McFadden and Trustee Christopher Hansen with helping develop and implement anti-fraud and internal-control measures. BST stated that those measures appeared to have ameliorated the identified problems.

Findings and response

Topic	BST finding or calculation	Administrative significance
Questionable or unsupported payments	Approximately \$150,000	Established the need for a forensic review and stronger controls
Services not rendered or goods not received or missing	At least \$50,253	Identified a documented subset of the broader questioned amount
Police personal-service costs	Approximately \$282,477 above the historical trend over the four fiscal years ending May 31, 2006	Shown the scale of the payroll and staffing-control problem
Requisition review	Trustee review of requisitions over \$5,000	Added governing-body oversight before payment
Invoice control	Departmental invoice tracking and QuickBooks recording	Improved transaction documentation
Budget control	Budget-variance review and written Board directives	Improved monitoring and accountability
Payroll control	Closer review of police payroll and hours	Addressed the largest recurring operating-cost risk

Board-memo significance

The report supports a matter-of-fact statement that the 2005–2007 McFadden/Hansen administration confronted documented Police Department control failures and implemented corrective measures. It does not support attributing every questioned amount to a final adjudication of wrongdoing by a particular person.

Source

- BST, forensic report to the Village of Tuxedo Park, May 9, 2007. A copy of the report is included with this exhibit package.